

THE CONTRACT DECODER

11 Contract Clauses That Are Costing You Thousands

Presented by DetectHiddenFees.com

WHAT'S INSIDE

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Pro Tip: Upload your contract to <https://hiddenfeeai.com> for \$15 AI analysis — results in minutes.

⚠️ DANGER ZONE #1: The Scope of Work

This is where vague language creates **unlimited financial exposure**. When a contract says "standard materials" or "customary installation" — those words mean NOTHING legally.

Real Example

A homeowner signed a **\$45,000** kitchen renovation where the scope said "cabinetry as selected." The contractor chose builder-grade cabinets. Upgrades cost **\$8,400 extra** plus 25% markup.

Warning Signs

- ✗ "Standard materials" — undefined
- ✗ "As needed" — unlimited scope
- ✗ "Or similar" — means they can downgrade

✅ The Fix

Every material by **brand, model number, quantity, and price**. If it's not in the contract, it's not included.

⚠ **DANGER ZONE #2: The Payment Schedule**

How you pay = your leverage. **50-70% upfront** leaves you with zero recourse.

The Numbers

A **\$75,000** project with 60% down = **\$45,000** before work starts. If they stop, you've lost everything.

The Fix

Max **25-30% deposit**. Milestone payments tied to completed work. **20% held** until punch list complete.

⚠ **DANGER ZONE #3: The Change Order Clause**

This causes **more cost overruns** than any other clause. Unlimited markups = blank check.

Real Example

A bathroom reno went from **\$18,000** → **\$31,000** — no cap, contractor charged **45% markup** on every change plus \$350 processing fees.

The Fix

Cap markups at **10-12%**. Require **written approval** before any change work.

⚠️ DANGER ZONE #4: The Fine Print Appendices

The worst terms are never in the main contract — they're in exhibits you never see.

What's Hidden

- 📄 **Mandatory arbitration** — You give up right to sue
 - 📄 **Limitation of liability** — Caps damages if they're negligent
 - 📄 **Attorney's fees** — You pay their costs in a dispute
 - 📄 **Forum selection** — You must sue in THEIR state
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⚠️ DANGER ZONE #5: The Auto-Renewal Trap

A homeowner missed a 90-day cancellation window by **12 days**. Locked into \$400/month for another year. **\$4,800 wasted**.

✅ The Fix

Remove auto-renewal. Make it **month-to-month with 30 days notice**.

11 CONTRACT CLAUSES DECODED

01. "Time is of the Essence"

If YOU delay, you breach. But the other party can delay as much as they want.

02. "Force Majeure"

Some define this too broadly — excusing supplier delays and labor shortages.

03. "Indemnification"

You could pay their costs even if **they** were negligent.

04. "Limitation of Liability"

Caps damages at contract value regardless of actual harm.

05. "Waiver of Consequential Damages"

Can't recover for lost income, temporary housing, or delay costs.

06. "Attorney's Fees"

Losing in court means paying their legal bills.

07. "Arbitration"

You give up your right to sue, to a jury trial, and to appeal.

08. "Governing Law"

May force you to sue in a different state.

09. "Entire Agreement"

Verbal promises made during the sales pitch are legally meaningless.

10. "Assignment"

Your contract can be sold to another company without your consent.

11. "Right to Lien"

Protects contractors — but can be abused for disputed amounts.

THE 7-STEP CONTRACT AUDIT METHOD

Step 1: Map the Money — List every dollar, compare to market averages

Step 2: Trace the Payment Schedule — Check your leverage at each stage

Step 3: Find Change Order Language — Look for caps or unlimited markups

Step 4: Read the Fine Print — Check every appendix and exhibit

Step 5: Check for Auto-Renewal — Note deadlines and penalties

Step 6: Verify Scope Completeness — Brands, models, quantities, timelines

Step 7: Use AI — Upload to <https://hiddenfeeai.com> for \$15 instant analysis

NEGOTIATION SCRIPTS THAT WORK

Script 1: Challenging a Markup

"I noticed the materials are marked up by 35%. The industry standard is 10-15%. Can we find a number that works for both of us?"

Script 2: Fixing Front-Loaded Payments

"I'm comfortable with 25% down, then milestone payments with 20% held until I sign off."

Script 3: Capping Change Orders

"Please add a cap of 12% on change order markups with written approval before work."

Script 4: Removing Auto-Renewal

"Remove auto-renewal and make it month-to-month with 30 days notice from either party."

REAL CASE STUDIES

Case 1: HVAC — \$14,500 → \$10,800

AI found 52% equipment markup and \$175/hr labor (\$95 market rate). **Saved \$3,200.**

Case 2: Auto Loan — \$2,400 APR Markup

Dealer marked up APR by 2.5% — lender approved 6.4%, contract showed 8.9%. **Saved \$2,400.**

Case 3: Renovation — \$12,000+ Saved

\$65,000 contract had 35% material markup and \$400/mo auto-renewal. **Saved \$12,000+.**

Case 4: Medical Bill — \$12,000 → \$4,200

Duplicate CT charges, incorrect coding, facility fee padding. **Saved \$7,800.**

YOUR ACTION PLAN

☐ Get scope in writing with brand, model, quantity ☐ Negotiate max 30% down, milestone-based payments ☐ Cap change orders at 10-12% with written approval ☐ Read every appendix before signing ☐ Remove auto-renewal or set calendar reminders ☐ Upload your contract to <https://hiddenfeeai.com>

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This guide was created to help consumers understand and negotiate their contracts. Upload your next contract to HiddenFeeAI for a complete AI-powered analysis — \$15 one-time, results in minutes.